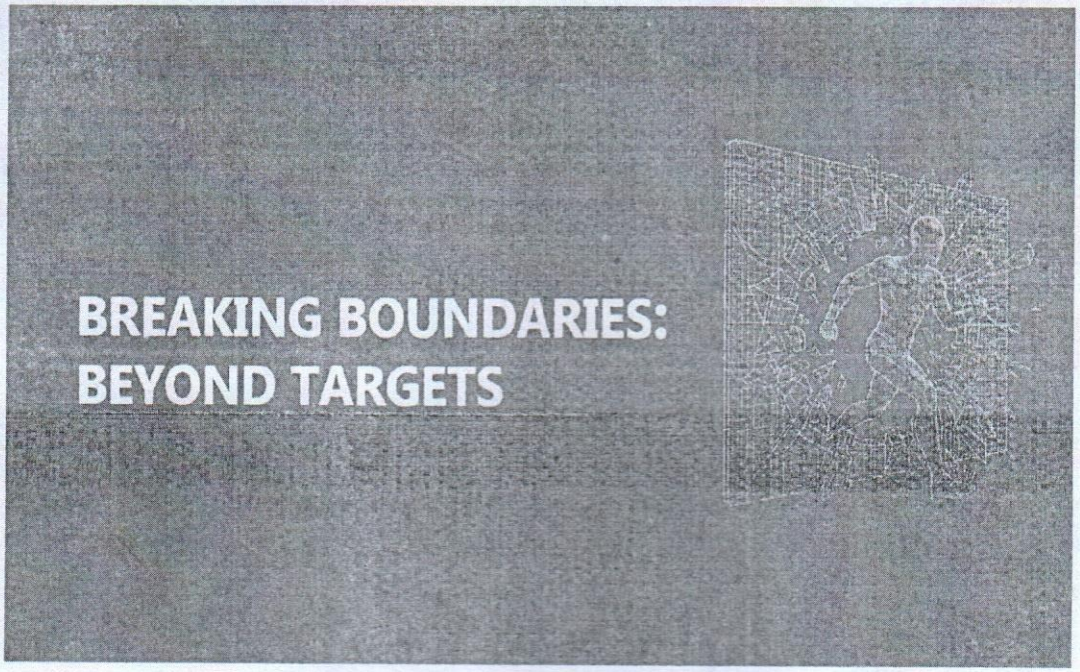


Beneficial Owners (BOs) Identification and Verification System

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This document requires formal approval and sign-off on each page by the **business owners** below prior to being base lined for solution design and development.

Role	Name	Signature	Date
Senior Manager KYC and CDD	Tilahun Girma		09/10/2026
Director Central Processing Department	Daniel Alemu		09/10/2026
Director Compliance Management	Abeselom Mulugeta		09/10/2026

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1. Introduction

The BO Identification and Verification System lets the Bank identify, verify, maintain and report the natural persons who ultimately own or control its legal-person customers. It supports compliance with the Ethiopian AML/CFT framework, FIS directives, Regulation No. 592/2026 and FATF Recommendations 24 and 25, using the NBE definition: a beneficial owner is a natural person who ultimately owns or controls the customer, including through ultimate effective control.

- Record and verify BOs with reliable, independently sourced evidence.
- Trace ownership and control through every intermediate company to the natural person(s), and never register an intermediate legal person as the final UBO.
- Calculate direct and indirect ownership automatically and apply the correct threshold per entity type.
- Identify BOs by control, and apply the senior managing official fallback only when no natural person can be identified.
- Enforce segregation of duties through Maker–Checker, with a complete, immutable audit trail.

2. Scope

In scope
BO registration, identification, verification, maintenance and monitoring for legal persons
Multi-layer ownership tracing, UBO ownership tree and automatic direct/indirect calculation
Control-based BO identification and senior managing official fallback
Screening (sanctions, NBE freeze list, PEP, adverse media), alerts and risk-based review
Reporting, document management and audit trail

3. Roles

Only two roles exist in the system. A user cannot act as both Maker and Checker on the same transaction. User provisioning and role assignment are handled by the Bank's existing identity management platform.

Role	Access	Responsibilities
Maker	Create, update, submit	Register and amend BO records, build the ownership tree, record control basis and fallback justification, attach evidence, submit for verification. Cannot approve or reject.
Checker	Review, approve, reject, return	Review the record, ownership tree, calculations, control basis and evidence; approve, reject or return with mandatory reasons. Read-only access to audit trail and reports. Cannot edit BO data.

4. Business Rules

- **BR-01 — Natural persons only.** A legal person (company, holding, trust, foundation, partnership) can never be saved as the final UBO.
- **BR-02 — Full chain tracing.** Trace through every intermediate legal person until a natural person is reached or the fallback is applied.
- **BR-03 — Indirect ownership.** Multiply percentages along the chain (60% × 70% = 42%); add the interests of the same person across multiple paths.
- **BR-04 — Control counts.** A person may be a UBO through control even where ownership is below the applicable threshold.
- **BR-05 — Fallback is not automatic.** Use the senior managing official only after reasonable measures are documented; record the capacity "Senior Managing Official (Fallback)".
- **BR-06 — Evidence for every layer.** Attach supporting evidence (shareholder register, registry extract, AOA/MOA, agreements) for each intermediate entity and control basis.
- **BR-07 — Maker–Checker.** Every create, change or cessation needs independent Checker approval; a Maker cannot approve their own submission.
- **BR-08 — Screening gate.** A record with an unresolved sanctions/PEP hit cannot be activated or linked to a CIF.
- **BR-09 — History preserved.** Amendments need a reason code and document; no silent overwrite; ceased BOs are retained with full history.

5. Regulatory Thresholds

Thresholds apply to the aggregated direct and indirect ownership of the natural person, calculated through the ownership tree. Control through other means applies to every entity type.

Legal person type	Threshold / criteria	Exception
Share Company	≥10% direct/indirect (individual or joint); preferential shares; convertible equity debt ≥10%	5% for mining, real estate development, motor vehicle dealership, import/export and other Directive sectors
Private Limited Company	≥5% direct/indirect (individual or joint)	—
One Member PLC	Owner plus applicable general manager or controlling person	—
General Partnership	25%: profit, assets on dissolution, voting rights, third-party beneficial interests	—

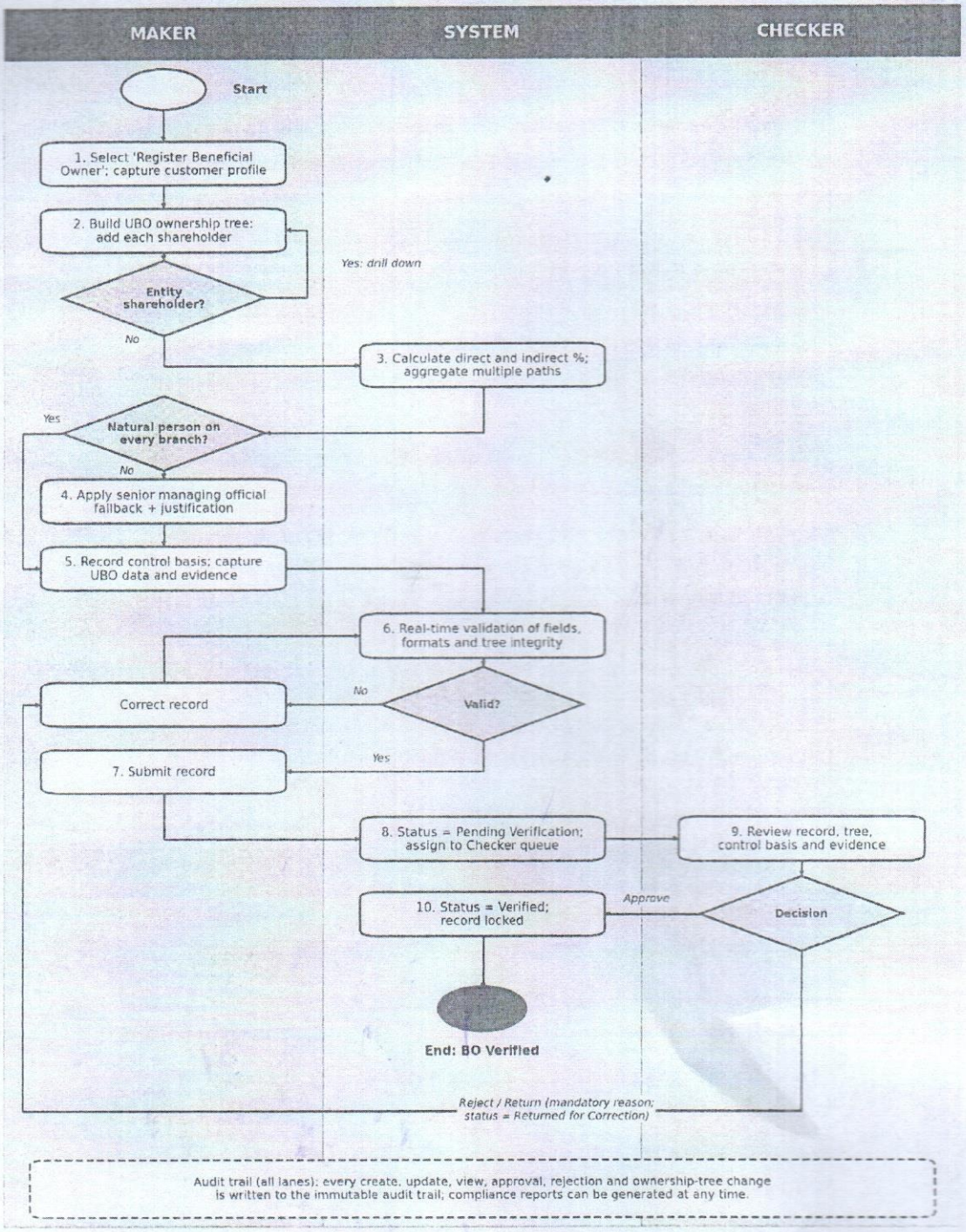
Legal person type	Threshold / criteria	Exception
Limited Partnership	25%: profit distribution, assets on dissolution, voting rights	—
Limited Liability Partnership	25%: profit or asset interest	—
Public Private Partnership	25% share or asset criterion	—
Financial Institution	≥2% direct/indirect or convertible equity debt ≥2%	—

6. Workflow

1. The Maker selects "Register Beneficial Owner" for a legal person and captures the customer profile.
2. The Maker builds the UBO ownership tree, drilling down through each entity shareholder until natural persons are reached.
3. The system calculates direct and indirect percentages and aggregates multiple paths.
4. The Maker records control basis, applies the fallback if needed, and captures UBO verification data and evidence.
5. The system validates mandatory fields, formats and tree integrity in real time.
6. The Maker submits; status becomes Pending Verification and the record enters the Checker queue.
7. The Checker reviews the record, tree, calculations, control basis and evidence, then approves, rejects or returns it with a mandatory reason.
8. On approval the record is Verified and locked; on rejection or return it goes back to the Maker.
9. Every action is written to the immutable audit trail; compliance reports are available at any time.

The BPMN diagram on the next page shows the same flow by lane: Maker, System and Checker.

6.1 BPMN Workflow Diagram



Legend: rounded boxes are tasks, diamonds are gateways, the open circle is the start event and the filled circle is the end event. Only the Maker and Checker roles act in the workflow.

7. Functional Requirements

7.1 Registration and Data

ID	Requirement	Priority
FR-01	Register BO records for legal-person customers using the 32 mandatory data fields (Section 9) with an auto-generated unique BO Reference Number.	Must
FR-02	Capture the nature, type (direct, indirect, joint, voting, other) and extent of ownership or control.	Must
FR-03	Classify each legal person by legal form, sector and jurisdiction and apply the matching threshold, including one-member PLCs and foreign legal persons (country of registration plus authenticated home-jurisdiction documents).	Must
FR-04	Store supporting documents (MOA, AOA, registration, license, TIN, registers, resolutions, IDs) linked to the entity, BO and relationship.	Must
FR-05	Provide search by entity, CIF, registration number, BO or shareholder name, ID number, nationality, percentage, sector, PEP status and dates, subject to role access.	Must
FR-06	Link each legal person and BO record to the CIF and customer record in CBS.	Must
FR-07	Maintain BO lifecycle (date became/ceased, Active/Ceased) and support amendment and removal with reason code, evidence and full history.	Must

7.2 UBO Tracing and Control

ID	Requirement	Priority
FR-08	Prevent a legal person from being saved as the final UBO and require tracing through every intermediate company to natural person(s).	Must
FR-09	Provide a UBO ownership tree (customer, shareholders, natural persons) of any depth, domestic and foreign, instead of a single "UBO Name" field.	Must
FR-10	Calculate direct and indirect ownership automatically, maintain the ownership chain, and recalculate whenever the tree changes.	Must
FR-11	Record the control basis (voting rights, shareholder or voting agreements, power to appoint or remove directors, board control, management rights, convertible instruments, nominee arrangements, persons acting together, other) and allow UBO status through control below threshold.	Must

ID	Requirement	Priority
FR-12	Offer the senior managing official fallback only after reasonable measures are documented; record the capacity and never default to the CEO.	Must
FR-13	Detect and flag circular or contradictory ownership, incomplete branches, and layers whose percentages exceed 100%.	Must
FR-14	For each natural-person UBO capture and verify: full name, nationality, date of birth, National ID/passport, address, ownership %, direct/indirect, ownership chain, control basis, PEP and sanctions screening, source of wealth and source of funds where required.	Must
FR-15	Retain documentary evidence for each UBO determination, ownership chain and control basis.	Must

7.3 Maker–Checker and Access

ID	Requirement	Priority
FR-16	Restrict the Maker to creating, editing and submitting, and the Checker to approving, rejecting; require Checker approval for every state change; block self-approval.	Must
FR-17	Show the Checker the full tree, calculated percentages, control basis, fallback justification and before/after values; require a mandatory reason for rejection or return.	Must
FR-18	Enforce role-based, deny-by-default access, session and lock-out controls, and controlled export and sharing of confidential BO data.	Must

7.4 Screening, Alerts and Reporting

ID	Requirement	Priority
FR-19	Screen BOs, shareholders and controlling persons against sanctions, NBE freeze list, PEP databases and adverse media (OFSAA or equivalent) at onboarding and on an ongoing basis; retain results and resolution status.	Must
FR-20	Raise configurable alerts for BO or control changes, expired IDs, pending verification, overdue reviews, and unresolved discrepancies and screening alerts.	Must
FR-21	Generate threshold-based reports per entity type, ownership reports across layers, and tree diagrams of entities, natural persons, percentages and control links.	Must
FR-22	Generate data-quality and exception reports (missing, contradictory or circular ownership, duplicates, expired documents).	Must
FR-23	Export reports to PDF, Excel, and CSV with filtering and access control;	Must

ID	Requirement	Priority
FR-24	Maintain an immutable audit trail of every create, read, update, approval, rejection, tree change and fallback application.	Must

7.5 Integration and API

ID	Requirement	Priority
FR-25	Implement preferably as a BO module in Spring Flow and/or CBS; otherwise as a separate system integrated with Spring Flow, CBS and OFSAA.	Should
FR-26	Expose secure APIs for authorized internal and external systems, including the Ministry and BO Registry, with authentication, authorization, encryption, logging, monitoring, rate control, error handling and versioning.	Must

8. Non-Functional Requirements

ID	Category	Requirement
NFR-01	Security	Encryption at rest and in transit; strong authentication
NFR-02	Auditability	Complete audit trail; no silent overwrite
NFR-03	Confidentiality	Access limited to authorized roles and legal requirements
NFR-04	Performance	Tree generation and percentage calculation for complex structures
NFR-05	Timeliness	API access for authorized authorities
NFR-06	Availability	Ongoing monitoring and access
NFR-07	Data quality	Accurate, current BO data; automated circular-ownership flagging
NFR-08	Integrity	Tree changes are transactional and never leave the tree inconsistent

9. Data Requirements

9.1 UBO Data (fields)

Group	Fields	Count
Legal person	BO Reference Number, Legal Person Name, Registration Number	3

Group	Fields	Count
Identity	Full Name, Gender, Date of Birth (age ≥ 18), Place of Birth, Nationality, Residential Address, Email, Telephone, Occupation	9
ID document	Type (Fayda ID, Passport, Driver's License, TIN, Kebele ID, Other), Number, Country of Issue, Date of Issue, Date of Expiry	5
Ownership and control	Nature, Type, Extent (0–100%), Date Became BO, Date Ceased to be BO, BO Status	6
PEP and verification	PEP Status, PEP Details, Source of Information, Verification Status, Verification Date, Additional Information	6
Audit	Record Created Date, Last Updated Date, Updated By	3

Verification Status values: Verified, Pending, Not Verified, Returned for Correction. PEP Details is required when PEP Status is Yes; Date Ceased is required when BO Status is Ceased.

9.2 Ownership Tree and UBO Verification Data

Field	Description
Parent Entity, Entity Type, Layer Level	Position of each node (Individual or Legal Person) in the ownership tree
Direct % / Indirect %	Direct holding in the parent; auto-calculated aggregated indirect interest
Ownership Path	Full chain from customer to natural person, e.g. ABC → XYZ → Mr. A
Control Basis and Description	Mechanism of control and evidence reference
Fallback Flag, Justification, Capacity	Senior managing official fallback, reasonable measures taken, capacity recorded
Sanctions Screening, Source of Wealth, Source of Funds	Screening result; obtained where required

10. Worked Example: UBO Layer Tracing

```
ABC Manufacturing PLC (Customer)
   ├── 60% → XYZ Holdings Ltd
   │              └── 70% → Mr. A
   └── 40% → Mr. B
```

Party	Path	Calculation	Effective interest
XYZ Holdings Ltd	ABC ← XYZ	Direct 60%	Not a UBO (legal person)
Mr. A	ABC ← XYZ ← Mr. A	60% × 70%	42% indirect
Mr. B	ABC ← Mr. B	Direct 40%	40% direct

Mr. A and Mr. B are assessed as UBOs against the applicable ownership and control criteria. The same method continues through any number of layers (Customer → Holding A → Holding B → Investment Company C → natural person).

11. Assumptions, Constraints and Dependencies

Type	Item
Assumptions	customers supply the required ownership documents; ownership chain data can be obtained from the customer, registries or reliable public sources.
Constraints	Compliance with Ethiopian AML/CFT laws and FIS directives; data stays within the Bank's residency and security boundary.

12. Acronyms

Term	Meaning
AML/CFT	Anti-Money Laundering and Countering the Financing of Terrorism
AOA / MOA	Articles / Memorandum of Association
BO / UBO	Beneficial Owner / Ultimate Beneficial Owner
CBS / CIF	Core Banking System / Customer Information File
CDD / KYC	Customer Due Diligence / Know Your Customer
FATF	Financial Action Task Force
FIS	Financial Intelligence Service
NBE	National Bank of Ethiopia
OFSAA	Oracle Financial Services Analytical Applications
PEP	Politically Exposed Person